

Recursive Computation of Compound Random Variables with
a Finite-Mixture Count Distribution

Robert Righter

March 2026

Master's Thesis

Supervising Professor: Dr. John Whitaker

Department of Mathematics,
Shawnee State University

Accepted by the Graduate Department

Graduate Director, Date

The thesis entitled “Recursive Computation of Compound Random Variables with a Finite-Mixture Count Distribution” presented by Robert Richter, a candidate for the degree of Master of Science in Mathematics, has been approved and is worthy of acceptance.

Date

Graduate Director

Date

Student

CONTENTS

1	Introduction	2
2	Literature Review	2
2.1	The Panjer Recursion	2
2.2	The Compound Random Variable Identity	3
3	Background	4
4	Examples	9
	Example 1: N in the Poisson Distribution	9
	Example 2: N in the Negative Binomial Distribution	12
	Example 3: N in the Binomial Distribution	15
5	Computation with a Finite Mixture of Poisson Distributions	18
	Example 4: N in a Finite Mixture of Two Poisson Distributions	18
6	Finite Poisson Mixture Generalization	21
	Example 5: Revisiting Example 1	23
	Example 6: Revisiting Example 4	24
7	Generalized Computation with a Finite Mixture of Distributions	26
	Example 7: N in a Finite Mixture of Binomial Distributions	30
	Example 8: N in a Finite Mixture of Negative Binomial Distributions	32
	Example 9: N in a Finite Mixture of Poisson, Binomial and Negative Binomial Distributions	34
8	Computational Analysis	38
9	Closing Statements	39

1. Introduction

Compound random variables have been studied extensively in probability theory and applied fields, as they provide a natural framework for modeling aggregate quantities subject to two layers of randomness: the distribution of the summands and the distribution of the count variable. Classical treatments can be found in [1, 2], where compound distributions are developed in the context of actuarial mathematics and discrete distributions.

While the concept is straightforward, calculating the exact probability distribution of a compound random variable can be a significant computational challenge. Direct methods involving multiple convolutions are often cumbersome and inefficient. A more elegant and powerful approach is the use of recursive methods, which allow for the efficient calculation of the probability $P(S_N = k)$ based on the probabilities of preceding values. This thesis explores one such recursive technique, which is particularly effective when the compounding distribution belongs to a specific class of distributions.

The primary contribution of this work is the extension and simplification of this recursive method to the case where the compounding distribution is a finite mixture of Poisson, Binomial and Negative Binomial distributions. A direct application of the recursive formula to this case leads to a computationally intensive, nested problem, where the mixing weights of the distribution must be recalculated at each step. Additionally, we derive a closed-form expression that computes these recursive weights directly, thereby eliminating some of the nested recursion and simplifying the calculation.

2. Literature Review

Compound random variables can be computed directly via the law of total probability by conditioning on the value of N and convolving the claim size distribution, as described in Ross [1]. However, starting in 1981, alternative approaches were identified that utilize recursive algorithms to compute compound random variables more efficiently.

2.1. The Panjer Recursion

In 1981, Panjer introduced a recursive method for the computation of compound random variables when the counting distribution satisfies a particular recurrence relation [4]. Panjer

showed that if the counting distribution N satisfied the recurrence relation,

$$P(N = n) = \left(a + \frac{b}{n}\right) \cdot P(N = n - 1), \quad \text{where } n \in \mathbb{Z}, n > 0, a, b \text{ are constants,}$$

then $P(S_N = k)$ can be computed with a recursive formula. This eliminated the need to perform explicit convolutions and provided a simpler path for computing $P(S_N = k)$ when the criteria are met.

Panjer's work was extended by Sundt and Jewell, also in 1981 [3]. They proved that only three distribution families satisfy Panjer's recurrence relation, namely, the Poisson, Binomial, and Negative Binomial distribution, also called the $(a, b, 0)$ class. They also introduced a relaxed form of the recurrence relation in which the relation holds for $n = 2, 3, \dots$ instead of $n = 1, 2, 3, \dots$, allowing a different initial value at $n = 0$. This enabled Panjer's recursive calculations to be extended to counting distributions such as the truncated negative binomial and related zero-modified distributions, collectively called the $(a, b, 1)$ class.

Subsequent work by Willmot sought to extend the Panjer framework to accommodate counting distributions formed by mixing members of the $(a, b, 0)$ class. In 1993, Willmot derived recursive computation methods for mixed Poisson distributions in which the Poisson parameter is itself a random variable drawn from a continuous mixing distribution [5]. In certain cases, such as the Poisson-Gamma mixture which yields the Negative Binomial, the resulting marginal distribution remains within the Panjer class and therefore satisfies the required recurrence relation. However, this approach is limited to continuous mixtures that collapse into a single known distribution. It does not extend to discrete finite mixtures where the counting distribution is a weighted combination of distributions with fixed parameters, such as a mixture of a Poisson and a Negative Binomial.

Panjer recursion remains the standard tool for computation of compound random variables in actuarial science [6]. However, the method is limited to a specific set of counting distributions that satisfy the recurrence relations.

2.2. The Compound Random Variable Identity

In the 2003 eighth edition of his textbook *Introduction to Probability Models*, Ross introduced an identity for compound Poisson random variables and used it to derive a recursive

formula for computing their probability mass function [1]. Building on this, Peköz and Ross published a paper in 2004 providing a probabilistic proof of the general identity and applying it to derive recursive formulas for compound random variables when the counting distribution is Poisson, Binomial, Negative Binomial, hypergeometric, logarithmic, or negative hypergeometric [2]. This approach introduces a size-biased auxiliary random variable M , defined as

$$P(M = n) = \frac{n P(N = n)}{E[N]}, \quad n = 1, 2, 3, \dots$$

Unlike the Panjer recursion, this approach does not require the counting distribution to satisfy a specific recurrence relation. However, it does introduce a nuance of recursive depth wherein the distribution of $M - 1$ must be determined at each level of recursion. For the Panjer-class distributions, the distribution of $M - 1$ at each recursion level can be expressed in closed form. In the Poisson case, it is identical to the original distribution; in the Binomial and Negative Binomial cases, it is the same family with a shifted parameter. Peköz and Ross applied the identity to each of these distributions individually but did not explore the case where the counting distribution is a finite mixture.

3. Background

Definition 1. The expected value of a discrete random variable, X , is denoted by $E(X)$, and given by

$$E[X] = \sum_{x=1}^{\infty} x \cdot f(x),$$

where $f(x)$ is the probability mass function of X .

Definition 2. Let $X_1, X_2, \dots, X_n$ be a sequence of independent and identically distributed random variables. Let N be a nonnegative integer valued random variable that is independent of the sequence $X_1, X_2, \dots, X_n$. Then,

$$S_N = \sum_{i=1}^N X_i$$

is a *compound random variable* [1].

Definition 3. In a compound random variable, the distribution of N is called the *compounding distribution*.

Theorem 1 (Compound Random Variable Identity [1, 2]). *Let M be a random variable that is independent of the sequence of random variables $X_1, X_2, \dots, X_n$ that forms a compound random variable and M satisfies*

$$P(M = n) = \frac{n P(N = n)}{E[N]}, \quad n = 1, 2, 3, \dots$$

Then, for any function h ,

$$E(S_N \cdot h(S_N)) = E[N] \cdot E(X_1 \cdot h(S_M)).$$

Proof.

$$\begin{aligned} E(S_N \cdot h(S_N)) &= E \left[\sum_{i=1}^N X_i h(S_N) \right] \\ &= E \left[E \left(\sum_{i=1}^N X_i h(S_N) \mid N = n \right) \right] \end{aligned}$$

$$\begin{aligned}
&= \sum_{n=0}^{\infty} E\left(\sum_{i=1}^n X_i h(S_n) \mid N = n\right) P(N = n) \\
&= \sum_{n=0}^{\infty} E\left(\sum_{i=1}^n X_i h(S_n)\right) P(N = n) \\
&= \sum_{n=0}^{\infty} \sum_{i=1}^n E(X_i h(S_n)) P(N = n).
\end{aligned}$$

Since $X_1, X_2, \dots$ are independent and identically distributed, we have

$$E(X_i \cdot h(S_N)) = E(X_j \cdot h(S_N)), \quad \forall i, j \in \{1, 2, \dots, n\}.$$

So,

$$\begin{aligned}
E(S_N \cdot h(S_N)) &= \sum_{n=0}^{\infty} \sum_{i=1}^n E(X_1 h(S_n)) P(N = n) \\
&= \sum_{n=1}^{\infty} n \cdot E(X_1 h(S_n)) P(N = n).
\end{aligned}$$

Then, by substitution of $P(M = n) = \frac{n P(N = n)}{E[N]}$, we have

$$\begin{aligned}
&= \sum_{n=0}^{\infty} E[N] \cdot E(X_1 h(S_n)) P(M = n) \\
&= E[N] \sum_{n=0}^{\infty} E(X_1 h(S_n)) P(M = n) \\
&= E[N] \sum_{n=0}^{\infty} E(X_1 h(S_n) \mid M = n) P(M = n) \\
&= E[N] \sum_{n=0}^{\infty} E(X_1 h(S_M) \mid M = n) P(M = n) \\
&= E[N] E(E(X_1 h(S_M) \mid M = n)) \\
&= E[N] E(X_1 h(S_M)).
\end{aligned}$$

□

Corollary 1 ([2]). *Let S_N be a compound random variable and suppose $X_1, X_2, \dots, X_n$ are positive integer valued random variables. Suppose $P(X_1 = i) = \alpha_i$, $i > 0$, and M is a random variable that is independent of the sequence $X_1, X_2, \dots, X_n$ and satisfies*

$$P(M = n) = \frac{n P(N = n)}{E[N]}.$$

Then,

$$P(S_N = 0) = P(N = 0) \quad \text{and} \quad P(S_N = k) = \frac{1}{k} E[N] \sum_{i=1}^k i \alpha_i P(S_{M-1} = k - i).$$

Proof. For a fixed k , let

$$h(x) = \begin{cases} 1 & \text{if } x = k, \\ 0 & \text{otherwise,} \end{cases}$$

and note that

$$S_N \cdot h(S_N) = \begin{cases} k & \text{if } S_N = k, \\ 0 & \text{otherwise.} \end{cases}$$

Therefore,

$$E(S_N \cdot h(S_N)) = k \cdot P(S_N = k).$$

Now, by the Compound Random Variable Identity, $E(S_N \cdot h(S_N)) = E[N] \cdot E(X_1 \cdot h(S_M))$.

So,

$$\begin{aligned} k \cdot P(S_N = k) &= E[N] \cdot E(X_1 \cdot h(S_M)) \\ &= E[N] \cdot E(E(X_1 \cdot h(S_M) \mid X_1 = j)) \\ &= E[N] \sum_{j=1}^{\infty} E(X_1 \cdot h(S_M) \mid X_1 = j) \cdot P(X_1 = j) \\ &= E[N] \sum_{j=1}^{\infty} E(X_1 \cdot h(S_M) \mid X_1 = j) \cdot \alpha_j \\ &= E[N] \sum_{j=1}^{\infty} E(j \cdot h(S_M) \mid X_1 = j) \cdot \alpha_j \end{aligned}$$

$$= E[N] \sum_{j=1}^{\infty} j \cdot E(h(S_M) \mid X_1 = j) \cdot \alpha_j.$$

Now,

$$E(h(S_M) \mid X_1 = j) = \sum_{S'_M} h(S'_M) f_{S_M \mid X_1}(S'_M \mid j) = P(S_M = k \mid X_1 = j).$$

And,

$$\begin{aligned} P(S_M = k \mid X_1 = j) &= P\left(\sum_{i=1}^m X_i = k \mid X_1 = j\right) \\ &= P\left(j + \sum_{i=2}^m X_i = k\right) = P\left(\sum_{i=2}^m X_i = k - j\right). \end{aligned}$$

Letting $\ell = i - 1$,

$$= P\left(\sum_{\ell=1}^{m-1} X_{\ell} = k - j\right) = P(S_{M-1} = k - j).$$

So,

$$k \cdot P(S_N = k) = E[N] \sum_{j=1}^{\infty} j \cdot \alpha_j \cdot P(S_{M-1} = k - j).$$

Note, when $j > k$, $P(S_{M-1} = k - j) = 0$. So,

$$k \cdot P(S_N = k) = E[N] \sum_{j=1}^k j \cdot \alpha_j \cdot P(S_{M-1} = k - j),$$

and therefore,

$$P(S_N = k) = \frac{1}{k} \cdot E[N] \sum_{j=1}^k j \cdot \alpha_j \cdot P(S_{M-1} = k - j).$$

Notice, by definition, for $N \geq 1$,

$$P(S_N = 0) = P\left(\sum_{j=i}^N X_i = 0\right) = 0,$$

so $P(S_N = 0) = P(N = 0)$. □

4. Examples

For each of the distributions below, let $S_N = \sum_{i=1}^N X_i$ be a compound random variable where

$$\begin{aligned} P(X_1 = 1) &= 0.05, & P(X_1 = 2) &= 0.4, & P(X_1 = 3) &= 0.1, \\ P(X_1 = 4) &= 0.25, & P(X_1 = 5) &= 0.2. \end{aligned}$$

Find $P(S_N = 4)$.

Example 1 (N in the Poisson Distribution). Let N be a random variable of the Poisson distribution with parameter $\lambda = 3$. So the probability mass function for the distribution of N is

$$P^{(s)}(N = n) = \frac{e^{-\lambda} \lambda^n}{n!}, \quad n = 0, 1, 2, \dots$$

We claim that $E[N^{(s)}] = \lambda$.

Proof.

$$\begin{aligned} E[N^{(s)}] &= \sum_{k=0}^{\infty} k \cdot \frac{e^{-\lambda} \lambda^k}{k!} = 0 + \sum_{k=1}^{\infty} k \cdot \frac{e^{-\lambda} \lambda^k}{k!} = \sum_{k=1}^{\infty} \frac{e^{-\lambda} \lambda^k}{(k-1)!} \\ &= e^{-\lambda} \cdot \lambda \cdot \sum_{k=1}^{\infty} \frac{\lambda^{k-1}}{(k-1)!}. \end{aligned}$$

Now let $j = k - 1$. So when $k = 1$, $j = 0$, and as $k \rightarrow \infty$, $j \rightarrow \infty$. So,

$$E[N^{(s)}] = \lambda \cdot e^{-\lambda} \cdot \sum_{j=0}^{\infty} \frac{\lambda^j}{j!}.$$

We recognize $\sum_{j=0}^{\infty} \frac{\lambda^j}{j!}$ as the Taylor series for e^λ . So,

$$E[N^{(s)}] = \lambda \cdot e^{-\lambda} \cdot e^\lambda = \lambda. \quad \square$$

Therefore, $E[N^{(s)}] = \lambda = 3$.

Before applying Corollary 1 to compute $P(S_N = 4)$, consider an alternate, more intuitive approach. This method utilizes the law of total probability and directly sums the probability of every outcome that yields the target sum.

Recall the *law of total probability*: to calculate $E[X]$ we may take a weighted average of the conditional expected value of X given $Y = y$, each term $E[X | Y = y]$ being weighted by $P(Y = y)$ [1, p. 107]. Written formally,

$$E[X] = \sum_y E[X | Y = y] \cdot P(Y = y).$$

Proof.

$$\begin{aligned} \sum_y E[X | Y = y] \cdot P(Y = y) &= \sum_y \sum_x x P(X = x | Y = y) \cdot P(Y = y) \\ &= \sum_y \sum_x x \cdot \frac{P(X = x, Y = y)}{P(Y = y)} \cdot P(Y = y) \\ &= \sum_y \sum_x x \cdot P(X = x, Y = y) \\ &= \sum_x x \sum_y P(X = x, Y = y) \\ &= \sum_x x \cdot P(X = x) = E[X]. \quad \square \end{aligned}$$

Applying this formula to our specific example, we must determine all of the possible ways for the sum to equal 4. The full list of possibilities is:

When $N = 1$, we must have $X_1 = 4$.

When $N = 2$, we must have $(X_1 = 2, X_2 = 2)$, or $(X_1 = 1, X_2 = 3)$, or $(X_1 = 3, X_2 = 1)$.

When $N = 3$, we must have $(X_1 = 2, X_2 = 1, X_3 = 1)$, or $(X_1 = 1, X_2 = 2, X_3 = 1)$, or $(X_1 = 1, X_2 = 1, X_3 = 2)$.

When $N = 4$, we must have $(X_1 = 1, X_2 = 1, X_3 = 1, X_4 = 1)$.

We know that

$$P(N = 1) = \frac{e^{-3} 3^1}{1!} = e^{-3} \cdot 3,$$

$$\begin{aligned}
P(N=2) &= \frac{e^{-3} 3^2}{2!} = e^{-3} \cdot \frac{9}{2}, \\
P(N=3) &= \frac{e^{-3} 3^3}{3!} = e^{-3} \cdot \frac{27}{6}, \\
P(N=4) &= \frac{e^{-3} 3^4}{4!} = e^{-3} \cdot \frac{81}{24}.
\end{aligned}$$

So, we apply $P(S_N = 4) = \sum_{n=1}^4 P(S_N = 4 \mid N = n) P(N = n)$ and we have,

$$\begin{aligned}
P(S_N = 4) &= (e^{-3} \cdot 3)(0.25) + \left(e^{-3} \cdot \frac{9}{2}\right)((0.4)^2 + 2(0.05 \cdot 0.1)) \\
&\quad + \left(e^{-3} \cdot \frac{27}{6}\right)3(0.05)^2(0.4) + \left(e^{-3} \cdot \frac{81}{24}\right)(0.05)^4 \\
&= e^{-3} \left[(3 \cdot 0.25) + \frac{9}{2}((0.4)^2 + 2(0.05 \cdot 0.1)) + \frac{27}{6} \cdot 3(0.05)^2(0.4) + \frac{81}{24}(0.05)^4 \right] \\
&= e^{-3} \cdot 1.528521094.
\end{aligned}$$

With this intuitive example in mind, we now calculate this same compound random variable using the formula from Corollary 1.

So we have,

$$\begin{aligned}
P(M^{(s)} - 1 = n) &= P(M^{(s)} = n + 1) = \frac{(n + 1) P^{(s)}(N = n + 1)}{E[N^{(s)}]} \\
&= \frac{n + 1}{\lambda} \cdot \frac{e^{-\lambda} \lambda^{n+1}}{(n + 1)!} = \frac{e^{-\lambda} \lambda^n}{n!}.
\end{aligned}$$

Therefore, we see that $P^{(s+1)}(N = n)$ is also the Poisson distribution with parameter λ . Since the distribution is unchanged at each recursion level, we have

$$P^{(s)}(S_N = k) = \frac{\lambda}{k} \sum_{i=1}^k i \alpha_i \cdot P^{(s+1)}(S_N = k - i),$$

which, because $P^{(s)} = P^{(s+1)}$ for all $s \geq 0$, simplifies to

$$P(S_N = k) = \frac{\lambda}{k} \sum_{i=1}^k i \alpha_i \cdot P(S_N = k - i).$$

Now we calculate $P(S_N = 4)$.

$$P(S_N = 0) = P(N = 0) = \frac{e^{-\lambda} \lambda^0}{0!} = e^{-\lambda} = e^{-3}.$$

$$P(S_N = 1) = \frac{3}{1} [1 \cdot (0.05) \cdot P(S_N = 0)] = 3 \cdot (0.05) \cdot e^{-3} = 0.15 e^{-3}.$$

$$\begin{aligned}
P(S_N = 2) &= \frac{3}{2} [(0.05) \cdot P(S_N = 1) + 2 \cdot (0.4) \cdot P(S_N = 0)] \\
&= \frac{3}{2} [(0.05)(0.15 e^{-3}) + (0.8) e^{-3}] = 1.21125 e^{-3}. \\
P(S_N = 3) &= \frac{3}{3} [(0.05) \cdot P(S_N = 2) + (0.8) \cdot P(S_N = 1) + 3 \cdot (0.1) \cdot P(S_N = 0)] \\
&= (0.05)(1.21125 e^{-3}) + (0.8)(0.15 e^{-3}) + (0.3) e^{-3} = 0.4805625 e^{-3}. \\
P(S_N = 4) &= \frac{3}{4} [0.05 \cdot P(S_N = 3) + 0.8 \cdot P(S_N = 2) + 0.3 \cdot P(S_N = 1) + 4 \cdot (0.25) \cdot P(S_N = 0)] \\
&= \frac{3}{4} [0.05(0.4805625 e^{-3}) + 0.8(1.21125 e^{-3}) + 0.3(0.15 e^{-3}) + e^{-3}] \\
&= 1.528521094 e^{-3}.
\end{aligned}$$

Note that this result agrees with the value $e^{-3} \cdot 1.528521094$ obtained above via the law of total probability, confirming the two methods are consistent.

Example 2 (N in the Negative Binomial Distribution). Let N be a random variable of the negative binomial distribution with parameters $r = 6$ and $p = 0.6$. The probability mass function for the distribution of $N^{(s)}$ at recursion level s is

$$P^{(s)}(N = n) = \binom{n+r+s-1}{n} p^{r+s} (1-p)^n, \quad n \geq 0.$$

We claim that $E[N^{(s)}] = \frac{(r+s)(1-p)}{p}$.

Proof.

$$E[N^{(s)}] = \sum_{k=0}^{\infty} k \binom{k+r+s-1}{k} p^{r+s} (1-p)^k = \sum_{k=1}^{\infty} k \binom{k+r+s-1}{k} p^{r+s} (1-p)^k.$$

Recalling that $\binom{a}{b} = \frac{a!}{b!(a-b)!}$, we see that

$$k \binom{k+r+s-1}{k} = k \cdot \frac{(k+r+s-1)!}{k!(r+s-1)!} = \frac{(k+r+s-1)!}{(k-1)!(r+s-1)!} = (r+s) \binom{k+r+s-1}{k-1}.$$

So we have,

$$E[N^{(s)}] = (r+s)(1-p)p^{r+s} \sum_{k=1}^{\infty} \binom{k+r+s-1}{k-1} (1-p)^{k-1}.$$

Let $m = k - 1$. By substitution,

$$E[N^{(s)}] = (r+s)(1-p)p^{r+s} \sum_{m=0}^{\infty} \binom{m+(r+s)}{m} (1-p)^m.$$

Recalling the negative binomial theorem, $(1+x)^{-t} = \sum_{i=0}^{\infty} \binom{-t}{i} x^i$, and applying it, we see that

$$\sum_{m=0}^{\infty} \binom{m+r+s}{m} (1-p)^m = p^{-(r+s+1)}.$$

So by substitution,

$$E[N^{(s)}] = (r+s)(1-p)p^{r+s} \cdot p^{-(r+s+1)} = \frac{(r+s)(1-p)}{p}. \quad \square$$

So we have,

$$\begin{aligned} P^{(s)}(M^{(s)} - 1 = n) &= P^{(s)}(M^{(s)} = n+1) \\ &= \frac{(n+1) P^{(s)}(N = n+1)}{E[N^{(s)}]} \\ &= \binom{n+r+s}{n+1} p^{r+s} (1-p)^{n+1} \cdot \frac{(n+1)}{(r+s)(1-p)/p} \\ &= \frac{(n+1)p}{(r+s)(1-p)} \cdot \frac{(n+r+s)!}{(n+1)!(r+s-1)!} \cdot p^{r+s} (1-p)^{n+1} \\ &= \frac{(n+r+s)!}{n!(r+s)!} \cdot p^{r+s+1} (1-p)^n \\ &= \binom{n+(r+s+1)-1}{n} p^{r+s+1} (1-p)^n = P^{(s+1)}(N = n). \end{aligned}$$

Therefore, we see that $P^{(s)}(M^{(s)} - 1 = n)$ is also the negative binomial distribution but at the next recursion level $(s+1)$. So, we have

$$P^{(s)}(S_N = k) = \frac{(r+s)(1-p)}{kp} \sum_{i=1}^k i \alpha_i \cdot P^{(s+1)}(S_N = k-i).$$

Now we can begin the computation. With $r = 6$, $p = 0.6$ (so $1 - p = 0.4$), at level $s = 0$ the coefficient is $\frac{r(1-p)}{p} = 4$, giving

$$P^{(0)}(S_N = k) = \frac{4}{k} \sum_{i=1}^k i \alpha_i \cdot P^{(1)}(S_N = k - i).$$

Base cases $P^{(s)}(S_N = 0) = p^{r+s}$:

$$P^{(0)}(S_N = 0) = (0.6)^6 = 0.046656.$$

$$P^{(1)}(S_N = 0) = (0.6)^7 = 0.0279936.$$

$$P^{(2)}(S_N = 0) = (0.6)^8 = 0.01679616.$$

$$P^{(3)}(S_N = 0) = (0.6)^9 = 0.010077696.$$

$$P^{(4)}(S_N = 0) = (0.6)^{10} = 0.0060466176.$$

Computing $P^{(s)}(S_N = 1)$:

$$P^{(0)}(S_N = 1) = \frac{(r)(1-p)}{1 \cdot p} [0.05 \cdot P^{(1)}(S_N = 0)] = (0.2)(0.0279936) = 0.00559872.$$

$$P^{(1)}(S_N = 1) = \frac{(r+1)(1-p)}{1 \cdot p} [0.05 \cdot P^{(2)}(S_N = 0)] = \frac{7 \cdot 0.4}{0.6} (0.05)(0.01679616) = 0.003919104.$$

$$P^{(2)}(S_N = 1) = \frac{(r+2)(1-p)}{1 \cdot p} [0.05 \cdot P^{(3)}(S_N = 0)] = \frac{8 \cdot 0.4}{0.6} (0.05)(0.010077696) = 0.0026873856.$$

$$P^{(3)}(S_N = 1) = \frac{(r+3)(1-p)}{1 \cdot p} [0.05 \cdot P^{(4)}(S_N = 0)] = \frac{9 \cdot 0.4}{0.6} (0.05)(0.0060466176) = 0.00181398528.$$

Computing $P^{(s)}(S_N = 2)$:

$$\begin{aligned} P^{(1)}(S_N = 2) &= \frac{(r+1)(1-p)}{2p} [(0.05) \cdot P^{(2)}(S_N = 1) + (0.8) \cdot P^{(2)}(S_N = 0)] \\ &= \frac{7 \cdot 0.4}{2 \cdot 0.6} [(0.05)(0.0026873856) + (0.8)(0.01679616)] = 0.03166636032. \end{aligned}$$

$$\begin{aligned} P^{(2)}(S_N = 2) &= \frac{(r+2)(1-p)}{2p} [(0.05) \cdot P^{(3)}(S_N = 1) + (0.8) \cdot P^{(3)}(S_N = 0)] \\ &= \frac{8 \cdot 0.4}{2 \cdot 0.6} [(0.05)(0.00181398528) + (0.8)(0.010077696)] = 0.021740949504. \end{aligned}$$

Computing $P^{(1)}(S_N = 3)$:

$$\begin{aligned}
 P^{(1)}(S_N = 3) &= \frac{(r+1)(1-p)}{3p} [(0.05) \cdot P^{(2)}(S_N = 2) + (0.8) \cdot P^{(2)}(S_N = 1) + (0.3) \cdot P^{(2)}(S_N = 0)] \\
 &= \frac{7 \cdot 0.4}{3 \cdot 0.6} [(0.05)(0.021740949504) + (0.8)(0.0026873856) + (0.3)(0.01679616)] \\
 &= 0.01287347282.
 \end{aligned}$$

Computing $P^{(0)}(S_N = 4)$:

$$\begin{aligned}
 P^{(0)}(S_N = 4) &= \frac{r(1-p)}{4p} [0.05 \cdot P^{(1)}(S_N = 3) + 0.8 \cdot P^{(1)}(S_N = 2) + 0.3 \cdot P^{(1)}(S_N = 1) + P^{(1)}(S_N = 0)] \\
 &= \frac{6 \cdot 0.4}{4 \cdot 0.6} [(0.05)(0.01287347282) + (0.8)(0.03166636032) \\
 &\quad + (0.3)(0.003919104) + 0.0279936] \\
 &= \boxed{0.05514609310}.
 \end{aligned}$$

Example 3 (N in the Binomial Distribution). Let N be a random variable of the Binomial distribution with parameters $r = 6$ and $p = 0.6$. The probability mass function for the distribution of $N^{(s)}$ at recursion level s is

$$P^{(s)}(N = n) = \binom{r-s}{n} p^n (1-p)^{(r-s)-n}, \quad n \geq 0.$$

We claim that $E[N^{(s)}] = (r-s)p$.

Proof.

$$E[N^{(s)}] = \sum_{k=0}^{\infty} k \binom{r-s}{k} p^k (1-p)^{(r-s)-k} = \sum_{k=1}^{\infty} k \binom{r-s}{k} p^k (1-p)^{(r-s)-k}.$$

Notice that

$$k \binom{r-s}{k} = k \cdot \frac{(r-s)!}{k! (r-s-k)!} = \frac{(r-s)!}{(k-1)! (r-s-k)!} = (r-s) \binom{r-s-1}{k-1}.$$

By substitution,

$$E[N^{(s)}] = (r-s)p \sum_{k=1}^{\infty} \binom{r-s-1}{k-1} p^{k-1} (1-p)^{(r-s)-k}.$$

We let $m = k - 1$. So we have,

$$E[N^{(s)}] = (r-s)p \sum_{m=0}^{\infty} \binom{r-s-1}{m} p^m (1-p)^{(r-s-1)-m}.$$

And by the binomial theorem,

$$\sum_{m=0}^{\infty} \binom{r-s-1}{m} p^m (1-p)^{(r-s-1)-m} = [p + (1-p)]^{r-s-1} = 1.$$

By substitution we have $E[N^{(s)}] = (r-s)p$. □

So, for this example at $s = 0$, $E[N^{(0)}] = rp = 3.6$. We have,

$$\begin{aligned} P^{(s)}(M^{(s)} - 1 = n) &= P^{(s)}(M^{(s)} = n + 1) = \frac{(n+1) P^{(s)}(N = n+1)}{E[N^{(s)}]} \\ &= \binom{r-s}{n+1} p^{n+1} (1-p)^{(r-s)-n-1} \cdot \frac{n+1}{(r-s)p} \\ &= \frac{(r-s)!}{(n+1)!(r-s-n-1)!} p(1-p)^{(r-s-1)-n} \cdot \frac{n+1}{(r-s)p} \\ &= \frac{(r-s-1)!}{n!(r-s-1-n)!} \cdot p^n (1-p)^{(r-s-1)-n} \\ &= \binom{r-s-1}{n} p^n (1-p)^{(r-s-1)-n} = P^{(s+1)}(N = n). \end{aligned}$$

Therefore, we see that $P^{(s)}(M^{(s)} - 1 = n)$ is also the binomial distribution but at the next recursion level $(s+1)$, which corresponds to a parameter change to $(r-s-1)$. So, we have

$$P^{(s)}(S_N = k) = \frac{(r-s)p}{k} \sum_{i=1}^k i \alpha_i \cdot P^{(s+1)}(S_N = k-i).$$

Now we can begin the computation to find $P(S_N = 4)$.

Base cases $P^{(s)}(S_N = 0) = (1-p)^{r-s}$:

$$P^{(1)}(S_N = 0) = P^{(1)}(N = 0) = (0.4)^5 = 0.01024.$$

$$P^{(2)}(S_N = 0) = P^{(2)}(N = 0) = (0.4)^4 = 0.0256.$$

$$P^{(3)}(S_N = 0) = P^{(3)}(N = 0) = (0.4)^3 = 0.064.$$

From Corollary 1, $P^{(0)}(S_N = 0) = P^{(0)}(N = 0) = (0.4)^6 = 0.004096$.

$$P^{(0)}(S_N = 1) = \frac{rp}{1} [1 \cdot (0.05) \cdot P^{(1)}(S_N = 0)] = 6(0.6)(0.05)(0.01024) = 0.0018432.$$

$$P^{(3)}(S_N = 1) = \frac{(r-3)p}{1} [0.05 \cdot P^{(4)}(S_N = 0)] = 3(0.6)(0.05)(0.4)^2 = 0.0144.$$

$$P^{(2)}(S_N = 1) = \frac{(r-2)p}{1} [0.05 \cdot P^{(3)}(S_N = 0)] = 4(0.6)(0.05)(0.064) = 0.00768.$$

$$P^{(1)}(S_N = 1) = \frac{(r-1)p}{1} [0.05 \cdot P^{(2)}(S_N = 0)] = 5(0.6)(0.05)(0.0256) = 0.00384.$$

$$\begin{aligned} P^{(2)}(S_N = 2) &= \frac{(r-2)p}{2} [0.05 \cdot P^{(3)}(S_N = 1) + 0.8 \cdot P^{(3)}(S_N = 0)] \\ &= \frac{4(0.6)}{2} [0.05(0.0144) + 0.8(0.064)] = 0.062304. \\ P^{(1)}(S_N = 2) &= \frac{(r-1)p}{2} [0.05 \cdot P^{(2)}(S_N = 1) + 0.8 \cdot P^{(2)}(S_N = 0)] \\ &= \frac{5(0.6)}{2} [0.05(0.00768) + 0.8(0.0256)] = 0.031296. \end{aligned}$$

$$\begin{aligned} P^{(1)}(S_N = 3) &= \frac{(r-1)p}{3} [(0.05) \cdot P^{(2)}(S_N = 2) + (0.8) \cdot P^{(2)}(S_N = 1) + (0.3) \cdot P^{(2)}(S_N = 0)] \\ &= \frac{5(0.6)}{3} [(0.05)(0.062304) + (0.8)(0.00768) + (0.3)(0.0256)] = 0.016937200. \end{aligned}$$

$$\begin{aligned} P^{(0)}(S_N = 4) &= \frac{rp}{4} [0.05 \cdot P^{(1)}(S_N = 3) + 0.8 \cdot P^{(1)}(S_N = 2) + 0.3 \cdot P^{(1)}(S_N = 1) + P^{(1)}(S_N = 0)] \\ &= \frac{6(0.6)}{4} [(0.05)(0.016937200) + (0.8)(0.031296) + (0.3)(0.00384) + 0.01024] \\ &= \boxed{0.033548184}. \end{aligned}$$

5. Computation with a Finite Mixture of Poisson Distributions

We will now consider the computation of compound random variable probabilities when the counting distribution is a mixture of Poisson distributions.

Example 4 (N in a Finite Mixture of Two Poisson Distributions). Consider a discrete mixture distribution where the event is generated by one of two random processes. The event is either generated by process one, which follows a Poisson distribution with mean λ_1 , or process two, which follows a Poisson distribution with mean λ_2 . The probability of process one is β_1 , and the probability of process two is β_2 , where $\beta_1 + \beta_2 = 1$. Let the parameters of this distribution be $\lambda_1, \lambda_2, \beta_1, \beta_2$.

So, we have,

$$P^{(s)}(N = n) = \beta_1^{(s)} \cdot \frac{e^{-\lambda_1} \lambda_1^n}{n!} + \beta_2^{(s)} \cdot \frac{e^{-\lambda_2} \lambda_2^n}{n!}, \quad n = 0, 1, 2, \dots$$

We claim that $E[N^{(s)}] = \beta_1^{(s)} \lambda_1 + \beta_2^{(s)} \lambda_2$.

Proof.

$$\begin{aligned} E[N^{(s)}] &= \sum_{k=0}^{\infty} k \left[\beta_1^{(s)} \cdot \frac{e^{-\lambda_1} \lambda_1^k}{k!} + \beta_2^{(s)} \cdot \frac{e^{-\lambda_2} \lambda_2^k}{k!} \right] \\ &= \beta_1^{(s)} \sum_{k=0}^{\infty} k \cdot \frac{e^{-\lambda_1} \lambda_1^k}{k!} + \beta_2^{(s)} \sum_{k=0}^{\infty} k \cdot \frac{e^{-\lambda_2} \lambda_2^k}{k!}. \end{aligned}$$

Recall from Example 1 that we showed $\sum_{k=0}^{\infty} k \cdot \frac{e^{-\lambda_i} \lambda_i^k}{k!} = \lambda_i$. So, by substitution we have $E[N^{(s)}] = \beta_1^{(s)} \lambda_1 + \beta_2^{(s)} \lambda_2$. □

So, we have,

$$\begin{aligned} P(M^{(s)} - 1 = n) &= P(M^{(s)} = n + 1) = \frac{(n + 1) P^{(s)}(N = n + 1)}{E[N^{(s)}]} \\ &= \frac{(n + 1) \left[\beta_1^{(s)} \cdot \frac{e^{-\lambda_1} \lambda_1^{n+1}}{(n + 1)!} + \beta_2^{(s)} \cdot \frac{e^{-\lambda_2} \lambda_2^{n+1}}{(n + 1)!} \right]}{\beta_1^{(s)} \lambda_1 + \beta_2^{(s)} \lambda_2} \end{aligned}$$

$$\begin{aligned}
&= \frac{\beta_1^{(s)} \lambda_1 \cdot \frac{e^{-\lambda_1} \lambda_1^n}{n!} + \beta_2^{(s)} \lambda_2 \cdot \frac{e^{-\lambda_2} \lambda_2^n}{n!}}{\beta_1^{(s)} \lambda_1 + \beta_2^{(s)} \lambda_2} \\
&= \frac{\beta_1^{(s)} \lambda_1}{\beta_1^{(s)} \lambda_1 + \beta_2^{(s)} \lambda_2} \cdot \frac{e^{-\lambda_1} \lambda_1^n}{n!} + \frac{\beta_2^{(s)} \lambda_2}{\beta_1^{(s)} \lambda_1 + \beta_2^{(s)} \lambda_2} \cdot \frac{e^{-\lambda_2} \lambda_2^n}{n!}.
\end{aligned}$$

Notice, this is also a finite mixture distribution where both processes follow the Poisson distribution with λ_1, λ_2 respectively. However, we have updated values for $\beta_1^{(s)}$ and $\beta_2^{(s)}$.

The weight update rule is

$$\beta_j^{(s+1)} = \frac{\beta_j^{(s)} \lambda_j}{\beta_1^{(s)} \lambda_1 + \beta_2^{(s)} \lambda_2}.$$

So, we have

$$P^{(s)}(S_N = k) = \frac{E[N^{(s)}]}{k} \sum_{i=1}^k i \alpha_i \cdot P^{(s+1)}(S_N = k - i).$$

Now we can begin the computation. Let $\lambda_1 = 3, \lambda_2 = 4, \beta_1^{(0)} = 0.6, \beta_2^{(0)} = 0.4$. We want to find $P^{(0)}(S_N = 4)$.

Computing the mixing weights at each level:

$$\begin{aligned}
\beta_1^{(0)} &= 0.6, \quad \beta_2^{(0)} = 0.4, \quad E[N^{(0)}] = (0.6)(3) + (0.4)(4) = 3.4. \\
\beta_1^{(1)} &= \frac{(0.6)(3)}{3.4} = \frac{1.8}{3.4}, \quad \beta_2^{(1)} = \frac{(0.4)(4)}{3.4} = \frac{1.6}{3.4}, \quad E[N^{(1)}] = \frac{1.8(3) + 1.6(4)}{3.4} = \frac{11.8}{3.4}. \\
\beta_1^{(2)} &= \frac{5.4}{11.8}, \quad \beta_2^{(2)} = \frac{6.4}{11.8}, \quad E[N^{(2)}] = \frac{5.4(3) + 6.4(4)}{11.8} = \frac{41.8}{11.8}. \\
\beta_1^{(3)} &= \frac{16.2}{41.8}, \quad \beta_2^{(3)} = \frac{25.6}{41.8}, \quad E[N^{(3)}] = \frac{16.2(3) + 25.6(4)}{41.8} = \frac{151}{41.8}. \\
\beta_1^{(4)} &= \frac{48.6}{151}, \quad \beta_2^{(4)} = \frac{102.4}{151}.
\end{aligned}$$

Base cases $P^{(s)}(S_N = 0) = \beta_1^{(s)} e^{-\lambda_1} + \beta_2^{(s)} e^{-\lambda_2}$:

$$\begin{aligned}
P^{(1)}(S_N = 0) &= \frac{1.8}{3.4} e^{-3} + \frac{1.6}{3.4} e^{-4}. \\
P^{(2)}(S_N = 0) &= \frac{5.4}{11.8} e^{-3} + \frac{6.4}{11.8} e^{-4}. \\
P^{(3)}(S_N = 0) &= \frac{16.2}{41.8} e^{-3} + \frac{25.6}{41.8} e^{-4}. \\
P^{(4)}(S_N = 0) &= \frac{48.6}{151} e^{-3} + \frac{102.4}{151} e^{-4}.
\end{aligned}$$

Computing $P^{(s)}(S_N = 1)$:

$$\begin{aligned}
P^{(1)}(S_N = 1) &= \frac{E[N^{(1)}]}{1} [1 \cdot 0.05 \cdot P^{(2)}(S_N = 0)] \\
&= \frac{11.8}{3.4} \left[(0.05) \left(\frac{5.4}{11.8} e^{-3} + \frac{6.4}{11.8} e^{-4} \right) \right] \\
&= 0.07941176471 e^{-3} + 0.09411764706 e^{-4}. \\
P^{(2)}(S_N = 1) &= \frac{E[N^{(2)}]}{1} [0.05 \cdot P^{(3)}(S_N = 0)] \\
&= 0.06864406780 e^{-3} + 0.10847457627 e^{-4}. \\
P^{(3)}(S_N = 1) &= \frac{E[N^{(3)}]}{1} [0.05 \cdot P^{(4)}(S_N = 0)] \\
&= 0.05813397129 e^{-3} + 0.12248803828 e^{-4}.
\end{aligned}$$

Computing $P^{(s)}(S_N = 2)$:

$$\begin{aligned}
P^{(1)}(S_N = 2) &= \frac{E[N^{(1)}]}{2} [(0.05) \cdot P^{(2)}(S_N = 1) + (0.8) \cdot P^{(2)}(S_N = 0)] \\
&= 0.64125 e^{-3} + 0.76235294118 e^{-4}. \\
P^{(2)}(S_N = 2) &= \frac{E[N^{(2)}]}{2} [(0.05) \cdot P^{(3)}(S_N = 1) + (0.8) \cdot P^{(3)}(S_N = 0)] \\
&= 0.55430084746 e^{-3} + 0.87864406780 e^{-4}.
\end{aligned}$$

Computing $P^{(1)}(S_N = 3)$:

$$\begin{aligned}
P^{(1)}(S_N = 3) &= \frac{E[N^{(1)}]}{3} [(0.05) \cdot P^{(2)}(S_N = 2) + (0.8) \cdot P^{(2)}(S_N = 1) + (0.3) \cdot P^{(2)}(S_N = 0)] \\
&= 0.25441544118 e^{-3} + 0.33945098039 e^{-4}.
\end{aligned}$$

Finally, $P^{(0)}(S_N = 4)$:

$$\begin{aligned}
P^{(0)}(S_N = 4) &= \frac{E[N^{(0)}]}{4} [(0.05) \cdot P^{(1)}(S_N = 3) + (0.8) \cdot P^{(1)}(S_N = 2) \\
&\quad + (0.3) \cdot P^{(1)}(S_N = 1) + P^{(1)}(S_N = 0)] \\
&= \frac{3.4}{4} [(0.05)(0.25441544118 e^{-3} + 0.33945098039 e^{-4}) \\
&\quad + (0.8)(0.64125 e^{-3} + 0.76235294118 e^{-4})
\end{aligned}$$

$$\begin{aligned}
& + (0.3)(0.07941176471 e^{-3} + 0.09411764706 e^{-4}) \\
& + \left(\frac{1.8}{3.4} e^{-3} + \frac{1.6}{3.4} e^{-4} \right)] \\
& = \boxed{0.91711265625 e^{-3} + 0.95682666667 e^{-4}}.
\end{aligned}$$

6. Finite Poisson Mixture Generalization

Next, we will describe a more general case of the Finite Mixture of Poisson Distributions. Consider a discrete mixture distribution where the event is generated by one or more random processes. The event is generated by one of t processes, which follows a Poisson distribution with mean λ_i for $i \in \mathbb{Z}$ with $0 < i \leq t$. The probability of process i is β_i for $i \in \mathbb{Z}$ with $0 < i \leq t$ and where $\beta_1 + \beta_2 + \dots + \beta_t = 1$.

Now we are ready to define our probability mass function. Let $s \in \mathbb{Z}$ with $0 \leq s$, and let s represent the level of recursion. Let the parameters of this distribution be $s, \lambda_1, \dots, \lambda_t$.

$$P^{(s)}(N = n) = \beta_1^{(s)} \cdot \frac{e^{-\lambda_1} \lambda_1^n}{n!} + \beta_2^{(s)} \cdot \frac{e^{-\lambda_2} \lambda_2^n}{n!} + \dots + \beta_t^{(s)} \cdot \frac{e^{-\lambda_t} \lambda_t^n}{n!}, \quad n \geq 0.$$

Corollary 2 (Recursive Properties of the Generalized Finite Mixture of Poisson Distributions). *Let $N^{(s)}$ be a mixed Poisson random variable at recursion level s with probability mass function*

$$P^{(s)}(N = n) = \sum_{j=1}^t \left(\frac{\beta_j \lambda_j^s}{\sum_{i=1}^t \beta_i \lambda_i^s} \right) \cdot \frac{e^{-\lambda_j} \lambda_j^n}{n!},$$

where $\sum_{i=1}^t \beta_i = 1$, $\beta_i > 0$, and $\lambda_i > 0$. Let $M^{(s)}$ be the random variable satisfying the compound identity condition associated with $N^{(s)}$. We claim that for all $s \geq 0$:

- (1) $E[N^{(s)}] = \frac{\sum_{i=1}^t \beta_i \lambda_i^{s+1}}{\sum_{j=1}^t \beta_j \lambda_j^s}.$
- (2) The distribution of $M^{(s)} - 1$ is identical to the distribution of $N^{(s+1)}$.

Proof (by induction). Base Case ($s = 0$): For $s = 0$, the weights are β_i . First, we compute the expected value of $E[N^{(0)}]$:

$$E[N^{(0)}] = \sum_{n=0}^{\infty} n \left[\sum_{i=1}^t \beta_i \cdot \frac{e^{-\lambda_i} \lambda_i^n}{n!} \right] = \sum_{i=1}^t \beta_i \lambda_i.$$

This matches the form of Claim 1 where the denominator $\sum_{i=1}^t \beta_i \lambda_i^0 = \sum_{i=1}^t \beta_i = 1$.

Next, we apply the compound random identity and see that,

$$\begin{aligned} P(M^{(0)} - 1 = n) &= P(M^{(0)} = n + 1) = \frac{(n + 1) P^{(0)}(N = n + 1)}{E[N^{(0)}]} \\ &= \frac{(n + 1) \left[\beta_1 \cdot \frac{e^{-\lambda_1} \lambda_1^{n+1}}{(n + 1)!} + \cdots + \beta_t \cdot \frac{e^{-\lambda_t} \lambda_t^{n+1}}{(n + 1)!} \right]}{\beta_1 \lambda_1 + \cdots + \beta_t \lambda_t} \\ &= \frac{n + 1}{\sum_{j=1}^t \beta_j \lambda_j} \cdot \sum_{i=1}^t \beta_i \cdot \frac{e^{-\lambda_i} \lambda_i^{n+1}}{(n + 1)!} \\ &= \sum_{i=1}^t \frac{\beta_i \lambda_i}{\sum_{j=1}^t \beta_j \lambda_j} \cdot \frac{e^{-\lambda_i} \lambda_i^n}{n!}. \end{aligned}$$

This is exactly the definition of $P^{(1)}(N = n)$. Thus, the claim holds for $s = 0$.

Inductive Step: Assume the statement is true for $s = k$. That is, $M^{(k)} - 1$ is equivalent to $N^{(k+1)}$ and $E[N^{(k)}]$ follows the claim. We need to show the statement is true for $s = k + 1$. We must determine the distribution of $M^{(k+1)} - 1$.

We have,

$$P(M^{(k+1)} - 1 = n) = P(M^{(k+1)} = n + 1) = \frac{(n + 1) P^{(k+1)}(N = n + 1)}{E[N^{(k+1)}]}.$$

First, we compute $E[N^{(k+1)}]$:

$$\begin{aligned} E[N^{(k+1)}] &= \sum_{n=0}^{\infty} n \cdot \sum_{i=1}^t \left(\frac{\beta_i \lambda_i^{k+1}}{\sum_{j=1}^t \beta_j \lambda_j^{k+1}} \right) \cdot \frac{e^{-\lambda_i} \lambda_i^n}{n!} \\ &= \sum_{i=1}^t \left(\frac{\beta_i \lambda_i^{k+1}}{\sum_{j=1}^t \beta_j \lambda_j^{k+1}} \right) \cdot \lambda_i = \frac{\sum_{i=1}^t \beta_i \lambda_i^{k+2}}{\sum_{j=1}^t \beta_j \lambda_j^{k+1}}. \end{aligned}$$

This confirms Claim 1 for $s = k + 1$. Next, we substitute this into the probability expression:

$$P(M^{(k+1)} - 1 = n) = \frac{n+1}{\frac{\sum_{i=1}^t \beta_i \lambda_i^{k+2}}{\sum_{j=1}^t \beta_j \lambda_j^{k+1}}} \sum_{i=1}^t \left(\frac{\beta_i \lambda_i^{k+1}}{\sum_{j=1}^t \beta_j \lambda_j^{k+1}} \right) \cdot \frac{e^{-\lambda_i} \lambda_i^{n+1}}{(n+1)!}.$$

We cancel the common denominator terms $\sum_{j=1}^t \beta_j \lambda_j^{k+1}$ and we have

$$\begin{aligned} &= \frac{n+1}{\sum_{j=1}^t \beta_j \lambda_j^{k+2}} \sum_{i=1}^t \beta_i \lambda_i^{k+1} \cdot \frac{e^{-\lambda_i} \lambda_i^{n+1}}{(n+1)!} \\ &= \sum_{i=1}^t \frac{\beta_i \lambda_i^{k+2}}{\sum_{j=1}^t \beta_j \lambda_j^{k+2}} \cdot \frac{e^{-\lambda_i} \lambda_i^n}{n!}. \end{aligned}$$

This expression is exactly the PMF for $N^{(k+2)}$ as desired.

So, by the principle of mathematical induction, for all $s \in \mathbb{N}$, the compound identity variable associated with $N^{(s)}$ shifts the distribution to $N^{(s+1)}$, and the expected value satisfies the derived closed form. $\square$

Now we are ready to construct our new recursive expression by applying Corollary 1. From

$$P(S_N = k) = \frac{1}{k} E[N] \sum_{i=1}^k i \alpha_i P(S_{M-1} = k - i),$$

we arrive at the updated recursive equation

$$P^{(s)}(S_N = k) = \frac{1}{k} \cdot \frac{\sum_{i=1}^t \beta_i \lambda_i^{s+1}}{\sum_{i=1}^t \beta_i \lambda_i^s} \cdot \sum_{i=1}^k i \alpha_i \cdot P^{(s+1)}(S_N = k - i).$$

Example 5 (Revisiting Example 1). Now we can compute the same compound random variable from Example 1, but with our updated recursive equation. Like before, let N be a random variable of the Poisson distribution with parameter $\lambda_1 = 3$. So the probability mass function for the distribution of N is

$$P^{(s)}(N = n) = \beta_1 \cdot \frac{e^{-\lambda} \lambda_1^n}{n!}, \quad \text{where } \beta_1 = 1.$$

Furthermore,

$$E[N^{(s)}] = \frac{\sum_{i=1}^1 \beta_i \lambda_i^{s+1}}{\sum_{i=1}^1 \beta_i \lambda_i^s} = \frac{\beta_1 \lambda_1^{s+1}}{\beta_1 \lambda_1^s} = \frac{\lambda_1^{s+1}}{\lambda_1^s} = \lambda_1 = 3, \quad \forall s \in \mathbb{Z}, s \geq 0.$$

Now we calculate $P^{(0)}(S_N = 4)$. We want to find

$$P^{(0)}(S_N = 4) = \frac{3}{4} [0.05 \cdot P^{(1)}(S_N = 3) + 0.8 \cdot P^{(1)}(S_N = 2) + 0.3 \cdot P^{(1)}(S_N = 1) + 4(0.25) \cdot P^{(1)}(S_N = 0)].$$

We can solve each of these recursive expressions for all $s \in \mathbb{Z}, s \geq 0$. So we have,

$$P^{(s)}(S_N = 0) = P(N^{(s)} = 0) = 1 \cdot \frac{e^{-\lambda} \lambda^0}{0!} = e^{-\lambda} = e^{-3}, \quad \forall s \geq 0.$$

$$P^{(s)}(S_N = 1) = \frac{3}{1} [1 \cdot (0.05) \cdot P(S_N = 0)] = 3(0.05) e^{-3} = 0.15 e^{-3}, \quad \forall s \geq 0.$$

$$\begin{aligned} P^{(s)}(S_N = 2) &= \frac{3}{2} [(0.05) \cdot P(S_N = 1) + 2(0.4) \cdot P(S_N = 0)] \\ &= \frac{3}{2} [(0.05)(0.15 e^{-3}) + (0.8) e^{-3}] = 1.21125 e^{-3}, \quad \forall s \geq 0. \end{aligned}$$

$$\begin{aligned} P^{(s)}(S_N = 3) &= \frac{3}{3} [(0.05) \cdot P(S_N = 2) + (0.8) \cdot P(S_N = 1) + 3(0.1) \cdot P(S_N = 0)] \\ &= (0.05)(1.21125 e^{-3}) + (0.8)(0.15 e^{-3}) + (0.3) e^{-3} = 0.4805625 e^{-3}, \quad \forall s \geq 0. \end{aligned}$$

Now we have everything we need to compute $P^{(0)}(S_N = 4)$. We have,

$$\begin{aligned} P^{(0)}(S_N = 4) &= \frac{3}{4} [0.05 \cdot P^{(1)}(S_N = 3) + 0.8 \cdot P^{(1)}(S_N = 2) + 0.3 \cdot P^{(1)}(S_N = 1) + 4(0.25) \cdot P^{(1)}(S_N = 0)] \\ &= \frac{3}{4} [0.05(0.4805625 e^{-3}) + 0.8(1.21125 e^{-3}) + 0.3(0.15 e^{-3}) + e^{-3}] \\ &= 1.528521094 e^{-3}. \end{aligned}$$

Notice, this is the same as our result from Example 1.

Example 6 (Revisiting Example 4). We will consider again the case of a discrete mixture distribution where the event is generated by one of two random processes. The event is either generated by process one, which follows a Poisson distribution with mean λ_1 , or

process two, which follows a Poisson distribution with mean λ_2 . Like in Example 4, we let $\lambda_1 = 3$, $\lambda_2 = 4$, $\beta_1^{(0)} = 0.6$, $\beta_2^{(0)} = 0.4$. We want to find $P^{(0)}(S_N = 4)$.

So we have,

$$P^{(s)}(S_N = k) = \frac{1}{k} \left[\frac{(0.6)(3)^{s+1} + (0.4)(4)^{s+1}}{(0.6)(3)^s + (0.4)(4)^s} \right] \sum_{i=1}^k i \alpha_i \cdot P^{(s+1)}(S_N = k - i).$$

$$P^{(0)}(S_N = 4) = \frac{1}{4} \left[\frac{(0.6)(3)^1 + (0.4)(4)^1}{(0.6)(3)^0 + (0.4)(4)^0} \right] \sum_{i=1}^4 i \alpha_i \cdot P^{(1)}(S_N = 4 - i).$$

Base cases:

$$P^{(1)}(S_N = 0) = \frac{(0.6)(3)^1}{(0.6)(3)^1 + (0.4)(4)^1} e^{-3} + \frac{(0.4)(4)^1}{(0.6)(3)^1 + (0.4)(4)^1} e^{-4} = \frac{1.8}{3.4} e^{-3} + \frac{1.6}{3.4} e^{-4}.$$

$$P^{(2)}(S_N = 0) = \frac{(0.6)(3)^2}{(0.6)(3)^2 + (0.4)(4)^2} e^{-3} + \frac{(0.4)(4)^2}{(0.6)(3)^2 + (0.4)(4)^2} e^{-4} = \frac{5.4}{11.8} e^{-3} + \frac{6.4}{11.8} e^{-4}.$$

$$P^{(3)}(S_N = 0) = \frac{16.2}{41.8} e^{-3} + \frac{25.6}{41.8} e^{-4}.$$

$$P^{(4)}(S_N = 0) = \frac{48.6}{151} e^{-3} + \frac{102.4}{151} e^{-4}.$$

Computing $P^{(s)}(S_N = 1)$:

$$\begin{aligned} P^{(1)}(S_N = 1) &= \left[\frac{(0.6)(3)^2 + (0.4)(4)^2}{(0.6)(3)^1 + (0.4)(4)^1} \right] [1 \cdot 0.05 \cdot P^{(2)}(S_N = 0)] \\ &= \frac{11.8}{3.4} \left[0.05 \left(\frac{5.4}{11.8} e^{-3} + \frac{6.4}{11.8} e^{-4} \right) \right] = 0.07941176471 e^{-3} + 0.09411764706 e^{-4}. \end{aligned}$$

$$P^{(2)}(S_N = 1) = \frac{41.8}{11.8} [0.05 \cdot P^{(3)}(S_N = 0)] = 0.06864406780 e^{-3} + 0.10847457627 e^{-4}.$$

$$P^{(3)}(S_N = 1) = \frac{151}{41.8} [0.05 \cdot P^{(4)}(S_N = 0)] = 0.05813397129 e^{-3} + 0.12248803828 e^{-4}.$$

Computing $P^{(s)}(S_N = 2)$:

$$\begin{aligned} P^{(1)}(S_N = 2) &= \frac{1}{2} \cdot \frac{11.8}{3.4} [(0.05) \cdot P^{(2)}(S_N = 1) + (0.8) \cdot P^{(2)}(S_N = 0)] \\ &= 0.64125 e^{-3} + 0.76235294118 e^{-4}. \end{aligned}$$

$$\begin{aligned} P^{(2)}(S_N = 2) &= \frac{1}{2} \cdot \frac{41.8}{11.8} [(0.05) \cdot P^{(3)}(S_N = 1) + (0.8) \cdot P^{(3)}(S_N = 0)] \\ &= 0.55430084746 e^{-3} + 0.87864406780 e^{-4}. \end{aligned}$$

Computing $P^{(1)}(S_N = 3)$:

$$\begin{aligned} P^{(1)}(S_N = 3) &= \frac{1}{3} \cdot \frac{11.8}{3.4} [(0.05) \cdot P^{(2)}(S_N = 2) + (0.8) \cdot P^{(2)}(S_N = 1) + (0.3) \cdot P^{(2)}(S_N = 0)] \\ &= 0.25441544118 e^{-3} + 0.33945098039 e^{-4}. \end{aligned}$$

Finally, $P^{(0)}(S_N = 4)$:

$$\begin{aligned} P^{(0)}(S_N = 4) &= \frac{1}{4} \cdot \frac{3.4}{1} [(0.05) \cdot P^{(1)}(S_N = 3) + (0.8) \cdot P^{(1)}(S_N = 2) \\ &\quad + (0.3) \cdot P^{(1)}(S_N = 1) + P^{(1)}(S_N = 0)] \\ &= \boxed{0.91711265625 e^{-3} + 0.95682666667 e^{-4}}. \end{aligned}$$

7. Generalized Computation with a Finite Mixture of Distributions

We have shown in Example 1 with N in the Poisson distribution that

$$P^{(s+1)}(M^{(s)} - 1 = n) = P^{(s)}(N = n).$$

We have shown in Example 2 with N in the negative binomial distribution that

$$P^{(s)}(M^{(s)} - 1 = n) = P^{(s+1)}(N = n),$$

where the negative binomial parameter shifts from $r + s$ to $r + s + 1$. Similarly, we have shown in Example 3 with N in the binomial distribution that

$$P^{(s)}(M^{(s)} - 1 = n) = P^{(s+1)}(N = n),$$

where the binomial parameter shifts from $r - s$ to $r - s - 1$.

Notice that for each of these distributions, when calculating $P(M^{(s)} - 1 = n)$, at a given level of recursion, we arrive at either $P^{(s)}(N = n)$ or a version of $P^{(s)}(N = n)$ with a parameter value change that is a function of the level of recursion.

We will now show that by moving the level of recursion to a parameter of the probability mass function of the finite mixture of distributions we can compute a compound

random variable with the counting distribution in any finite mixture of any of these three distributions.

Corollary 3 (Recursive Properties of the Finite Mixture Distributions). *Let $s \in \mathbb{Z}$ with $0 \leq s$, and let s represent the level of recursion. Let $N^{(s)}$ be a mixed random variable of Binomial or Negative Binomial distribution at recursion level s with probability mass function:*

$$P^{(s)}(N = n) = \sum_{j=1}^t \beta_j^{(s)} P_{r_j}(N^{(s)} = n), \quad n \geq 0,$$

where $\sum_{i=1}^t \beta_i = 1$. Let $M^{(s)}$ be the random variable satisfying the compound identity condition associated with $N^{(s)}$. We claim that for all $s \geq 0$:

- (1) $E[N^{(s)}] = \sum_{j=1}^t \beta_j^{(s)} E[N_j^{(0)}]$.
- (2) The distribution of $M^{(s)} - 1$ is identical to the distribution of $N^{(s+1)}$, where the new weights are updated such that

$$\beta_j^{(s+1)} = \beta_j^{(s)} \cdot \frac{E[N_j^{(s)}]}{E[N^{(s)}]}.$$

Proof (by induction). Base Case ($s = 0$): For $s = 0$, the weights are β_i . First, we compute the expected value of $E[N^{(0)}]$:

$$E[N^{(0)}] = \sum_{n=0}^{\infty} n \cdot \left[\sum_{j=1}^t \beta_j^{(0)} P_{r_j}(n) \right] = \sum_{j=1}^t \beta_j^{(0)} E[N_j^{(0)}].$$

Thus, Claim 1 holds for case $s = 0$.

Next, we apply the compound random identity and see that,

$$\begin{aligned} P(M^{(0)} - 1 = n) &= P(M^{(0)} = n + 1) = \frac{(n + 1) P(N^{(0)} = n + 1)}{E[N^{(0)}]} \\ &= \frac{(n + 1) \left[\sum_{j=1}^t \beta_j^{(0)} P_{r_j}(N^{(0)} = n + 1) \right]}{E[N^{(0)}]} \end{aligned}$$

$$= \frac{1}{E[N^{(0)}]} \sum_{j=1}^t \beta_j^{(0)} \left[(n+1) \cdot P_{r_j}(N^{(0)} = n+1) \right].$$

Notice that for the negative binomial distribution, $P^{(s)}(M^{(s)} - 1 = n) = P^{(s+1)}(N = n)$ implies

$$(n+1) P_r(N = n+1) = E[N] P_{r+1}(N = n).$$

So by substitution we have,

$$\begin{aligned} P(M^{(0)} - 1 = n) &= \frac{1}{E[N^{(0)}]} \sum_{j=1}^t \beta_j^{(0)} E[N_j^{(0)}] \cdot P_{r_j+1}(N^{(1)} = n) \\ &= \sum_{j=1}^t \frac{\beta_j E[N_j^{(0)}]}{E[N^{(0)}]} \cdot P_{r_j+1}(N^{(1)} = n). \end{aligned}$$

Similarly, for the binomial distribution, $P^{(s)}(M^{(s)} - 1 = n) = P^{(s+1)}(N = n)$ implies

$$(n+1) P_r(N = n+1) = E[N] P_{r-1}(N = n).$$

So by substitution we have,

$$\begin{aligned} P(M^{(0)} - 1 = n) &= \frac{1}{E[N^{(0)}]} \sum_{j=1}^t \beta_j^{(0)} E[N_j^{(0)}] \cdot P_{r_j-1}(N^{(1)} = n) \\ &= \sum_{j=1}^t \frac{\beta_j E[N_j^{(0)}]}{E[N^{(0)}]} \cdot P_{r_j-1}(N^{(1)} = n). \end{aligned}$$

These match the definition of $N^{(1)}$, a mixture with shifted parameters according to the distribution. Thus, the claim holds for $s = 0$.

Inductive Step: Assume the statement is true for $s = k$. That is, $M^{(k)} - 1$ is equivalent to $N^{(k+1)}$ and $E[N^{(k)}]$ follows the claim. We need to show the statement is true for $s = k + 1$. We must determine the distribution of $M^{(k+1)} - 1$.

We have,

$$P(M^{(k+1)} - 1 = n) = P(M^{(k+1)} = n+1) = \frac{(n+1) P(N^{(k+1)} = n+1)}{E[N^{(k+1)}]}.$$

Substituting the mixture sum for $N^{(k+1)}$,

$$P(M^{(k+1)} - 1 = n) = \frac{1}{E[N^{(k+1)}]} \sum_{j=1}^t \beta_j^{(k+1)} \left[(n+1) \cdot P_{r_j+(k+1)}(N^{(0)} = n+1) \right].$$

So, for the negative binomial distribution, by substitution we have,

$$\begin{aligned} P(M^{(k+1)} - 1 = n) &= \frac{1}{E[N^{(k+1)}]} \sum_{j=1}^t \beta_j^{(k+1)} E[N_j^{(k+1)}] \cdot P_{r_j+k+2}(N^{(1)} = n) \\ &= \sum_{j=1}^t \frac{\beta_j^{k+1} E[N_j^{(k+1)}]}{E[N^{(k+1)}]} \cdot P_{r_j+k+2}(N^{(1)} = n). \end{aligned}$$

Similarly, for the binomial distribution, by substitution we have,

$$\begin{aligned} P(M^{(k+1)} - 1 = n) &= \frac{1}{E[N^{(k+1)}]} \sum_{j=1}^t \beta_j^{(k+1)} E[N_j^{(k+1)}] \cdot P_{r_j-(k+2)}(N^{(1)} = n) \\ &= \sum_{j=1}^t \frac{\beta_j^{k+1} E[N_j^{(k+1)}]}{E[N^{(k+1)}]} \cdot P_{r_j-(k+2)}(N^{(1)} = n). \end{aligned}$$

This expression is exactly the PMF for $N^{(k+2)}$ with weights β_j^{k+1} as desired.

So, by the principle of mathematical induction, for all $s \in \mathbb{N}$, the compound identity variable associated with $N^{(s)}$ shifts the distribution to $N^{(s+1)}$, and the expected value satisfies the derived closed form. $\square$

Now we are ready to construct our new recursive expression by applying Corollary 1. From

$$P(S_N = k) = \frac{1}{k} E[N] \sum_{i=1}^k i \alpha_i P(S_{M-1} = k-i),$$

we arrive at the updated recursive equation

$$P^{(s)}(S_N = k) = \frac{E[N^{(s)}]}{k} \cdot \sum_{i=1}^k i \alpha_i \cdot P^{(s+1)}(S_N = k-i),$$

where $E[N^{(s)}] = \sum_{j=1}^t \beta_j^{(s)} E[N_j^{(0)}]$ and the computation of $P^{(s+1)}$ uses $\beta^{(s+1)}$ and parameters appropriate to the distribution of P_i , that is, $(r-s)$ for the binomial distribution, $(r+s)$ for the negative binomial distribution and no parameter change for the Poisson distribution.

Example 7 (N in a Finite Mixture of Binomial Distributions). Consider a discrete mixture distribution where the event is generated by one of two random processes. The event is either generated by process one, which follows a Binomial distribution with $r_1 = 8$ and $p_1 = 0.5$, or process two, which follows a Binomial distribution with $r_2 = 10$ and $p_2 = 0.7$. The probability of process one is $\beta_1^{(0)} = 0.6$. The probability of process two is $\beta_2^{(0)} = 0.4$. Notice that $\beta_1^{(0)} + \beta_2^{(0)} = 1$. We want to find $P(S_N = 4)$.

So, the probability mass function for this mixed distribution is

$$P^{(s)}(N = n) = \sum_{j=1}^2 \beta_j^{(s)} \binom{r_j - s}{n} p_j^n (1 - p_j)^{(r_j - s) - n}, \quad 0 \leq n \leq \max(r_1 - s, r_2 - s).$$

Computing the mixing weights at each level:

$$E[N^{(0)}] = \beta_1^{(0)}(r_1 - 0)p_1 + \beta_2^{(0)}(r_2 - 0)p_2 = 0.6 \cdot 8 \cdot 0.5 + 0.4 \cdot 10 \cdot 0.7 = 5.2.$$

$$\beta_1^{(1)} = \beta_1^{(0)} \cdot \frac{E[N_1^{(0)}]}{E[N^{(0)}]} = \frac{2.4}{5.2} = 0.46153846154.$$

$$\beta_2^{(1)} = \beta_2^{(0)} \cdot \frac{E[N_2^{(0)}]}{E[N^{(0)}]} = \frac{2.8}{5.2} = 0.53846153846.$$

$$\begin{aligned} E[N^{(1)}] &= \beta_1^{(1)}(r_1 - 1)p_1 + \beta_2^{(1)}(r_2 - 1)p_2 \\ &= 0.46153846154 \cdot 7 \cdot 0.5 + 0.53846153846 \cdot 9 \cdot 0.7 = 5.00769230769. \end{aligned}$$

$$\beta_1^{(2)} = \beta_1^{(1)} \cdot \frac{E[N_1^{(1)}]}{E[N^{(1)}]} = \frac{1.61538461538}{5.00769230769} = 0.32258064516.$$

$$\beta_2^{(2)} = \beta_2^{(1)} \cdot \frac{E[N_2^{(1)}]}{E[N^{(1)}]} = \frac{3.39230769231}{5.00769230769} = 0.67741935484.$$

$$\begin{aligned} E[N^{(2)}] &= \beta_1^{(2)}(r_1 - 2)p_1 + \beta_2^{(2)}(r_2 - 2)p_2 \\ &= 0.32258064516 \cdot 6 \cdot 0.5 + 0.67741935484 \cdot 8 \cdot 0.7 = 4.76129032258. \end{aligned}$$

$$\beta_1^{(3)} = \beta_1^{(2)} \cdot \frac{E[N_1^{(2)}]}{E[N^{(2)}]} = \frac{0.96774193548}{4.76129032258} = 0.20325203252.$$

$$\beta_2^{(3)} = \beta_2^{(2)} \cdot \frac{E[N_2^{(2)}]}{E[N^{(2)}]} = \frac{3.79354838710}{4.76129032258} = 0.79674796748.$$

$$\begin{aligned} E[N^{(3)}] &= \beta_1^{(3)}(r_1 - 3)p_1 + \beta_2^{(3)}(r_2 - 3)p_2 \\ &= 0.20325203252 \cdot 5 \cdot 0.5 + 0.79674796748 \cdot 7 \cdot 0.7 = 4.41219512195. \end{aligned}$$

$$\beta_1^{(4)} = \beta_1^{(3)} \cdot \frac{E[N_1^{(3)}]}{E[N^{(3)}]} = \frac{0.50813008130}{4.41219512195} = 0.11516491616.$$

$$\beta_2^{(4)} = \beta_2^{(3)} \cdot \frac{E[N_2^{(3)}]}{E[N^{(3)}]} = \frac{3.90406504065}{4.41219512195} = 0.88483508384.$$

$$\begin{aligned} E[N^{(4)}] &= \beta_1^{(4)}(r_1 - 4)p_1 + \beta_2^{(4)}(r_2 - 4)p_2 \\ &= 0.11516491616 \cdot 4 \cdot 0.5 + 0.88483508384 \cdot 6 \cdot 0.7 = 3.94663718445. \end{aligned}$$

Now we can begin the computation to find $P^{(0)}(S_N = 4)$. We want to find,

$$P^{(0)}(S_N = 4) = \frac{E[N^{(0)}]}{4} [0.05 \cdot P^{(1)}(S_N = 3) + 0.8 \cdot P^{(1)}(S_N = 2) + 0.3 \cdot P^{(1)}(S_N = 1) + P^{(1)}(S_N = 0)].$$

Base cases:

$$P^{(s)}(S_N = 0) = \beta_1^{(s)} \cdot (1 - p_1)^{r_1 - s} + \beta_2^{(s)} \cdot (1 - p_2)^{r_2 - s} = \beta_1^{(s)} \cdot (0.5)^{8-s} + \beta_2^{(s)} \cdot (0.3)^{10-s}.$$

$$P^{(1)}(S_N = 0) = 0.46153846154 (0.5)^7 + 0.53846153846 (0.3)^9 = 0.00361636777.$$

$$P^{(2)}(S_N = 0) = 0.32258064516 (0.5)^6 + 0.67741935484 (0.3)^8 = 0.00508476806.$$

$$P^{(3)}(S_N = 0) = 0.20325203252 (0.5)^5 + 0.79674796748 (0.3)^7 = 0.00652587480.$$

$$P^{(4)}(S_N = 0) = 0.11516491616 (0.5)^4 + 0.88483508384 (0.3)^6 = 0.00784285204.$$

Computing $P^{(s)}(S_N = 1)$:

$$P^{(1)}(S_N = 1) = \frac{E[N^{(1)}]}{1} [0.05 \cdot P^{(2)}(S_N = 0)] = 5.00769230769(0.05)(0.00508476806) = 0.00127314770.$$

$$P^{(2)}(S_N = 1) = \frac{E[N^{(2)}]}{1} [0.05 \cdot P^{(3)}(S_N = 0)] = 4.76129032258(0.05)(0.00652587480) = 0.00155357923.$$

$$P^{(3)}(S_N = 1) = \frac{E[N^{(3)}]}{1} [0.05 \cdot P^{(4)}(S_N = 0)] = 4.41219512195(0.05)(0.00784285204) = 0.00173020967.$$

Computing $P^{(s)}(S_N = 2)$:

$$\begin{aligned} P^{(1)}(S_N = 2) &= \frac{E[N^{(1)}]}{2} [0.05 \cdot P^{(2)}(S_N = 1) + 0.8 \cdot P^{(2)}(S_N = 0)] \\ &= \frac{5.00769230769}{2} [0.05(0.00155357923) + 0.8(0.00508476806)] = 0.01037967774. \end{aligned}$$

$$P^{(2)}(S_N = 2) = \frac{E[N^{(2)}]}{2} [0.05 \cdot P^{(3)}(S_N = 1) + 0.8 \cdot P^{(3)}(S_N = 0)]$$

$$= \frac{4.76129032258}{2} [0.05(0.00173020967) + 0.8(0.00652587480)] = 0.01263458457.$$

Computing $P^{(1)}(S_N = 3)$:

$$\begin{aligned} P^{(1)}(S_N = 3) &= \frac{E[N^{(1)}]}{3} [0.05 \cdot P^{(2)}(S_N = 2) + 0.8 \cdot P^{(2)}(S_N = 1) + 0.3 \cdot P^{(2)}(S_N = 0)] \\ &= \frac{5.00769230769}{3} [0.05(0.01263458457) + 0.8(0.00155357923) + 0.3(0.00508476806)] \\ &= 0.00567542306. \end{aligned}$$

Computing $P^{(0)}(S_N = 4)$:

$$\begin{aligned} P^{(0)}(S_N = 4) &= \frac{E[N^{(0)}]}{4} [0.05 \cdot P^{(1)}(S_N = 3) + 0.8 \cdot P^{(1)}(S_N = 2) + 0.3 \cdot P^{(1)}(S_N = 1) + P^{(1)}(S_N = 0)] \\ &= \frac{5.2}{4} [0.05(0.00567542306) + 0.8(0.01037967774) \\ &\quad + 0.3(0.00127314770) + 0.00361636777] \\ &= \boxed{0.01636157305}. \end{aligned}$$

Example 8 (N in a Finite Mixture of Negative Binomial Distributions). Consider a discrete mixture distribution where the event is generated by one of two random processes. The event is either generated by process one, which follows a Negative Binomial distribution with $r_1 = 4$ and $p_1 = 0.6$, or process two, which follows a Negative Binomial distribution with $r_2 = 6$ and $p_2 = 0.5$. The probability of process one is $\beta_1^{(0)} = 0.5$. The probability of process two is $\beta_2^{(0)} = 0.5$. Notice that $\beta_1^{(0)} + \beta_2^{(0)} = 1$. We want to find $P(S_N = 4)$.

So, the probability mass function for this mixed distribution is

$$P^{(s)}(N = n) = \sum_{j=1}^2 \beta_j^{(s)} \binom{n + r_j + s - 1}{n} p_j^{r_j + s} (1 - p_j)^n, \quad 0 \leq n \leq \max(r_1 + s, r_2 + s).$$

Computing the mixing weights at each level:

$$E[N^{(0)}] = 0.5 \left(\frac{(4 + 0)(0.4)}{0.6} \right) + 0.5 \left(\frac{(6 + 0)(0.5)}{0.5} \right) = 4.33333333333.$$

$$\begin{aligned}
\beta_1^{(1)} &= 0.5 \cdot \frac{1.3333333333}{4.3333333333} = 0.30769230769. \\
\beta_2^{(1)} &= 0.5 \cdot \frac{3}{4.3333333333} = 0.69230769231. \\
E[N^{(1)}] &= 0.30769230769 \cdot \frac{5 \cdot 0.4}{0.6} + 0.69230769231 \cdot \frac{7 \cdot 0.5}{0.5} = 5.87179487179. \\
\beta_1^{(2)} &= 0.30769230769 \cdot \frac{1.02564102564}{5.87179487179} = 0.17467248908. \\
\beta_2^{(2)} &= 0.69230769231 \cdot \frac{4.84615384615}{5.87179487179} = 0.82532751092. \\
E[N^{(2)}] &= 0.17467248908 \cdot \frac{6 \cdot 0.4}{0.6} + 0.82532751092 \cdot \frac{8 \cdot 0.5}{0.5} = 7.30131004367. \\
\beta_1^{(3)} &= 0.17467248908 \cdot \frac{0.69868995633}{7.30131004367} = 0.09569377990. \\
\beta_2^{(3)} &= 0.82532751092 \cdot \frac{6.60262008734}{7.30131004367} = 0.90430622010. \\
E[N^{(3)}] &= 0.09569377990 \cdot \frac{7 \cdot 0.4}{0.6} + 0.90430622010 \cdot \frac{9 \cdot 0.5}{0.5} = 8.58532695375. \\
\beta_1^{(4)} &= 0.09569377990 \cdot \frac{0.44664430295}{8.58532695375} = 0.05201560468. \\
\beta_2^{(4)} &= 0.90430622010 \cdot \frac{8.13875598086}{8.58532695375} = 0.94798439532. \\
E[N^{(4)}] &= 0.05201560468 \cdot \frac{8 \cdot 0.4}{0.6} + 0.94798439532 \cdot \frac{10 \cdot 0.5}{0.5} = 9.75726051149.
\end{aligned}$$

Now we can begin the computation to find $P^{(0)}(S_N = 4)$. We want to find,

$$P^{(0)}(S_N = 4) = \frac{E[N^{(0)}]}{4} [0.05 \cdot P^{(1)}(S_N = 3) + 0.8 \cdot P^{(1)}(S_N = 2) + 0.3 \cdot P^{(1)}(S_N = 1) + P^{(1)}(S_N = 0)].$$

Base cases $P^{(s)}(S_N = 0) = \beta_1^{(s)} p_1^{r_1+s} + \beta_2^{(s)} p_2^{r_2+s}$:

$$\begin{aligned}
P^{(0)}(S_N = 0) &= 0.5(0.6)^4 + 0.5(0.5)^6 = 0.0726125. \\
P^{(1)}(S_N = 0) &= 0.30769230769(0.6)^5 + 0.69230769231(0.5)^7 = 0.02933480769. \\
P^{(2)}(S_N = 0) &= 0.17467248908(0.6)^6 + 0.82532751092(0.5)^8 = 0.01137345524. \\
P^{(3)}(S_N = 0) &= 0.09569377990(0.6)^7 + 0.90430622010(0.5)^9 = 0.00444503648. \\
P^{(4)}(S_N = 0) &= 0.05201560468(0.6)^8 + 0.94798439532(0.5)^{10} = 0.00179942843.
\end{aligned}$$

Computing $P^{(s)}(S_N = 1)$:

$$P^{(1)}(S_N = 1) = \frac{E[N^{(1)}]}{1} [0.05 \cdot P^{(2)}(S_N = 0)] = 5.87179487179(0.05)(0.01137345524) = 0.00333912981.$$

$$P^{(2)}(S_N = 1) = \frac{E[N^{(2)}]}{1} [0.05 \cdot P^{(3)}(S_N = 0)] = 7.30131004367(0.05)(0.00444503648) = 0.00162272948.$$

$$P^{(3)}(S_N = 1) = \frac{E[N^{(3)}]}{1} [0.05 \cdot P^{(2)}(S_N = 0)] = 8.58532695375(0.05)(0.01137345524) = 0.00488224159.$$

Computing $P^{(s)}(S_N = 2)$:

$$\begin{aligned} P^{(1)}(S_N = 2) &= \frac{E[N^{(1)}]}{2} [0.05 \cdot P^{(2)}(S_N = 1) + 0.8 \cdot P^{(2)}(S_N = 0)] \\ &= \frac{5.87179487179}{2} [0.05(0.00162272948) + 0.8(0.01137345524)] = 0.02695124683. \end{aligned}$$

$$\begin{aligned} P^{(2)}(S_N = 2) &= \frac{E[N^{(2)}]}{2} [0.05 \cdot P^{(3)}(S_N = 1) + 0.8 \cdot P^{(3)}(S_N = 0)] \\ &= \frac{7.30131004367}{2} [0.05(0.00488224159) + 0.8(0.00444503648)] = 0.01387300480. \end{aligned}$$

Computing $P^{(1)}(S_N = 3)$:

$$\begin{aligned} P^{(1)}(S_N = 3) &= \frac{E[N^{(1)}]}{3} [0.05 \cdot P^{(2)}(S_N = 2) + 0.8 \cdot P^{(2)}(S_N = 1) + 0.3 \cdot P^{(2)}(S_N = 0)] \\ &= \frac{5.87179487179}{3} [0.05(0.01387300480) + 0.8(0.00162272948) + 0.3(0.01137345524)] \\ &= 0.01057680615. \end{aligned}$$

Computing $P^{(0)}(S_N = 4)$:

$$\begin{aligned} P^{(0)}(S_N = 4) &= \frac{E[N^{(0)}]}{4} [0.05 \cdot P^{(1)}(S_N = 3) + 0.8 \cdot P^{(1)}(S_N = 2) + 0.3 \cdot P^{(1)}(S_N = 1) + P^{(1)}(S_N = 0)] \\ &= \frac{4.33333333333}{4} [0.05(0.01057680615) + 0.8(0.02695124683) \\ &\quad + 0.3(0.00333912981) + 0.02933480769] \\ &= \boxed{0.05679127315}. \end{aligned}$$

Example 9 (N in a Finite Mixture of Poisson, Binomial and Negative Binomial Distributions). Consider a discrete mixture distribution where the event is generated by one of three random processes. The event is either generated by process one, which follows a Poisson distribution with $\lambda = 3$, or process two, which follows a Binomial distribution with $r_2 = 6$

and $p_2 = 0.5$, or process three, which follows a Negative Binomial distribution with $r_3 = 2$ and $p_3 = 0.4$. The probability of process one is $\beta_1^{(0)} = 0.4$. The probability of process two is $\beta_2^{(0)} = 0.3$. The probability of process three is $\beta_3^{(0)} = 0.3$. Notice that $\beta_1^{(0)} + \beta_2^{(0)} + \beta_3^{(0)} = 1$.

We want to find $P(S_N = 4)$.

So, the probability mass function for this mixed distribution is

$$P^{(s)}(N = n) = \beta_1^{(s)} \cdot \frac{e^{-\lambda} \lambda^n}{n!} + \beta_2^{(s)} \cdot \binom{r_2 - s}{n} p_2^n (1 - p_2)^{(r_2 - s) - n} + \beta_3^{(s)} \cdot \binom{n + r_3 + s - 1}{n} p_3^{r_3 + s} (1 - p_3)^n,$$

for $0 \leq n \leq \max(r_2 - s, r_3 + s)$.

So we have,

$$E[N_1^{(s)}] = \lambda = 3, \quad \text{for all } s.$$

$$E[N_2^{(s)}] = (r_2 - s) p_2 = (6 - s)(0.5).$$

$$E[N_3^{(s)}] = \frac{(r_3 + s)(1 - p_3)}{p_3} = \frac{(2 + s)(0.6)}{0.4} = (2 + s)(1.5).$$

Computing the mixing weights at each level:

$$\beta_1^{(0)} = 0.4, \quad \beta_2^{(0)} = 0.3, \quad \beta_3^{(0)} = 0.3.$$

$$E[N^{(0)}] = (0.4)(3) + (0.3)(3) + (0.3)(3) = 3.$$

$$\beta_1^{(1)} = 0.4 \cdot \frac{3}{3} = 0.4.$$

$$\beta_2^{(1)} = 0.3 \cdot \frac{3}{3} = 0.3.$$

$$\beta_3^{(1)} = 0.3 \cdot \frac{3}{3} = 0.3.$$

$$E[N^{(1)}] = 0.4(3) + 0.3(2.5) + 0.3(4.5) = 3.3.$$

$$\beta_1^{(2)} = 0.4 \cdot \frac{3}{3.3} = 0.36363636364.$$

$$\beta_2^{(2)} = 0.3 \cdot \frac{2.5}{3.3} = 0.22727272727.$$

$$\beta_3^{(2)} = 0.3 \cdot \frac{4.5}{3.3} = 0.40909090909.$$

$$E[N^{(2)}] = 0.36363636364(3) + 0.22727272727(2) + 0.40909090909(6) = 4.$$

$$\beta_1^{(3)} = 0.36363636364 \cdot \frac{3}{4} = 0.27272727273.$$

$$\beta_2^{(3)} = 0.22727272727 \cdot \frac{2}{4} = 0.11363636364.$$

$$\begin{aligned}
\beta_3^{(3)} &= 0.40909090909 \cdot \frac{6}{4} = 0.61363636364. \\
E[N^{(3)}] &= 0.27272727273(3) + 0.11363636364(1.5) \\
&\quad + 0.61363636364(7.5) = 5.59090909091. \\
\beta_1^{(4)} &= 0.27272727273 \cdot \frac{3}{5.59090909091} = 0.14634146341. \\
\beta_2^{(4)} &= 0.11363636364 \cdot \frac{1.5}{5.59090909091} = 0.03048780488. \\
\beta_3^{(4)} &= 0.61363636364 \cdot \frac{7.5}{5.59090909091} = 0.82317073171. \\
E[N^{(4)}] &= 0.14634146341(3) + 0.03048780488(1) \\
&\quad + 0.82317073171(9) = 7.87804878049.
\end{aligned}$$

Now we can begin the computation to find $P^{(0)}(S_N = 4)$. We want to find,

$$P^{(0)}(S_N = 4) = \frac{E[N^{(0)}]}{4} [0.05 \cdot P^{(1)}(S_N = 3) + 0.8 \cdot P^{(1)}(S_N = 2) + 0.3 \cdot P^{(1)}(S_N = 1) + P^{(1)}(S_N = 0)].$$

Base cases:

$$P^{(s)}(N = 0) = \beta_1^{(s)} e^{-3} + \beta_2^{(s)} (0.5)^{6-s} + \beta_3^{(s)} (0.4)^{2+s}.$$

$$P^{(0)}(S_N = 0) = 0.4 e^{-3} + 0.3(0.5)^6 + 0.3(0.4)^2 = 0.07260232735.$$

$$P^{(1)}(S_N = 0) = 0.4 e^{-3} + 0.3(0.5)^5 + 0.3(0.4)^3 = 0.04848982735.$$

$$P^{(2)}(S_N = 0) = 0.36363636364 e^{-3} + 0.22727272727(0.5)^4 + 0.40909090909(0.4)^4 = 0.04278166122.$$

$$P^{(3)}(S_N = 0) = 0.27272727273 e^{-3} + 0.11363636364(0.5)^3 + 0.61363636364(0.4)^5 = 0.03406647319.$$

$$P^{(4)}(S_N = 0) = 0.14634146341 e^{-3} + 0.03048780488(0.5)^2 + 0.82317073171(0.4)^6 = 0.01827957098.$$

Computing $P^{(s)}(S_N = 1)$:

$$P^{(1)}(S_N = 1) = \frac{E[N^{(1)}]}{1} [0.05 \cdot P^{(2)}(S_N = 0)] = 3.3(0.05)(0.04278166122) = 0.00705897410.$$

$$P^{(2)}(S_N = 1) = \frac{E[N^{(2)}]}{1} [0.05 \cdot P^{(3)}(S_N = 0)] = 4(0.05)(0.03406647319) = 0.00681329464.$$

$$P^{(3)}(S_N = 1) = \frac{E[N^{(3)}]}{1} [0.05 \cdot P^{(4)}(S_N = 0)] = 5.59090909091(0.05)(0.01827957098) = 0.00510997098.$$

Computing $P^{(s)}(S_N = 2)$:

$$\begin{aligned}
 P^{(1)}(S_N = 2) &= \frac{E[N^{(1)}]}{2} [0.05 \cdot P^{(2)}(S_N = 1) + 0.8 \cdot P^{(2)}(S_N = 0)] \\
 &= \frac{3.3}{2} [0.05(0.00681329464) + 0.8(0.04278166122)] = 0.05703388962. \\
 P^{(2)}(S_N = 2) &= \frac{E[N^{(2)}]}{2} [0.05 \cdot P^{(3)}(S_N = 1) + 0.8 \cdot P^{(3)}(S_N = 0)] \\
 &= \frac{4}{2} [0.05(0.00510997098) + 0.8(0.03406647319)] = 0.05501735420.
 \end{aligned}$$

Computing $P^{(1)}(S_N = 3)$:

$$\begin{aligned}
 P^{(1)}(S_N = 3) &= \frac{E[N^{(1)}]}{3} [0.05 \cdot P^{(2)}(S_N = 2) + 0.8 \cdot P^{(2)}(S_N = 1) + 0.3 \cdot P^{(2)}(S_N = 0)] \\
 &= \frac{3.3}{3} [0.05(0.05501735420) + 0.8(0.00681329464) + 0.3(0.04278166122)] \\
 &= 0.02313960197.
 \end{aligned}$$

Computing $P^{(0)}(S_N = 4)$:

$$\begin{aligned}
 P^{(0)}(S_N = 4) &= \frac{E[N^{(0)}]}{4} [0.05 \cdot P^{(1)}(S_N = 3) + 0.8 \cdot P^{(1)}(S_N = 2) + 0.3 \cdot P^{(1)}(S_N = 1) + P^{(1)}(S_N = 0)] \\
 &= \frac{3}{4} [0.05(0.02313960197) + 0.8(0.05703388962) + 0.3(0.00705897410) + 0.04848982735] \\
 &= \boxed{0.07304370853}.
 \end{aligned}$$

8. Computational Analysis

9. Closing Statements

References

- [1] S. M. Ross, *Introduction to Probability Models*, 10th ed., Academic Press, Amsterdam, 2010.
- [2] E. Peköz and S. M. Ross, “Compound Random Variables,” manuscript, School of Management, Boston University, and Epstein Department of Industrial and Systems Engineering, University of Southern California.
- [3] B. Sundt and W. S. Jewell, “Further Results on Recursive Evaluation of Compound Distributions,” *ASTIN Bulletin*, vol. 12, pp. 27–39, 1981.
- [4] H. H. Panjer, “Recursive Evaluation of a Family of Compound Distributions,” *ASTIN Bulletin*, vol. 12, 1981.
- [5] G. E. Willmot, “On Recursive Evaluation of Mixed Poisson Probabilities and Related Quantities,” *Scandinavian Actuarial Journal*, vol. 2, pp. 114–133, 1993.
- [6] S. A. Klugman, H. H. Panjer, and G. E. Willmot, *Loss Models: From Data to Decisions*, 4th ed., Wiley, Hoboken, NJ, 2012.

Biographical Statement

Robert Righter is a graduate student in the Department of Mathematics at Shawnee State University. He received a bachelor's degree in computer science from Covenant College in Lookout Mountain, GA and a bachelor's degree in Mathematics from Thomas Edison State University in Trenton, NJ. He is currently a Vice President of Software Engineering at Salesforce. He is primarily interested in the fields of Mathematical Analysis and Probability.